

Qualitative Assessment

Barrett Business Services, Inc.

3/8/2026

Summary

What do they sell?

Barrett Business Services provides outsourced human resource management and workforce administration services to small and mid-sized businesses.

Its services are primarily delivered through its Professional Employer Organization (PEO) platform, where BBSI enters a co-employment relationship with client companies. In this arrangement, the client retains operational control of employees while BBSI assumes responsibility for administrative employment functions.

Core services include:

- Payroll processing and payroll tax administration
- Human resources advisory and compliance support
- Workers' compensation coverage and claims management
- Employee benefits administration
- Workplace safety consulting and risk mitigation
- HR technology and employee management systems

BBSI also provides staffing and recruiting services, including temporary staffing, contract staffing, direct placement, and on-site workforce management.

Overall, BBSI sells a combination of HR outsourcing, workforce administration, and employment-related risk management services.

Who buys it?

BBSI primarily serves small and mid-sized businesses across a wide range of industries. Typical client industries include construction, manufacturing, transportation and warehousing, waste management, healthcare, hospitality, retail, professional services, and wholesale trade.

These businesses often lack the internal resources to efficiently manage complex employment functions such as payroll compliance, workers' compensation programs, benefits administration, and HR regulation.

As of 2025, BBSI served over 8,200 PEO clients and supported approximately 138,000 worksite employees (WSEs). No individual client accounted for more than 1% of total revenue, indicating a highly diversified customer base.

Why do customers buy from them instead of others?

Customers primarily choose BBSI to outsource complex employment functions and access HR infrastructure that would otherwise be difficult to build internally.

Small and mid-sized businesses face significant administrative and regulatory burdens related to payroll, employment law compliance, benefits management, and workplace safety. BBSI allows these businesses to transfer much of that complexity to a specialized provider.

Clients also gain access to HR expertise, workers' compensation programs, employee benefits, and risk management resources typically available only to larger organizations.

This can improve operational efficiency and help clients attract and retain employees.

BBSI also emphasizes a localized service model, using nearby business teams that provide ongoing consultation and support. These relationships, along with the operational disruption involved in changing HR platforms, can create moderate switching costs that support client retention.

Earnings

What are the primary drivers of earnings?

Barrett Business Services generates earnings primarily through its professional employer organization (PEO) model, where it provides outsourced HR, payroll, and workers' compensation management services to small and mid-sized businesses. Revenue is largely driven by the number of worksite employees under management and the total payroll processed for those employees. As client companies grow and hire more workers, the payroll base increases, which expands the service fees BBSI earns.

Another important driver is workers' compensation program economics. BBSI administers workers' compensation coverage for its clients and retains a portion of the underwriting risk while reinsuring the rest. Earnings are therefore influenced by claims experience and underwriting performance, though the company has reduced its retained insurance exposure in recent years. The insurance component also generates investment income on the float created by claims liabilities, but this contribution is relatively modest, averaging roughly 12% of profits based on the historical data.

Operating leverage also plays a role. Because many administrative costs are relatively fixed, growth in the client base and payroll volume can increase operating income faster than revenue over time.

Does the company have pricing power, or are prices determined by the market?

Pricing power appears limited and largely constrained by market competition.

BBSI operates in the highly competitive PEO and HR outsourcing industry, where clients can compare providers such as ADP, Paychex, TriNet, and Insperity. Service fees are generally structured as a percentage of payroll or bundled with workers' compensation costs, meaning pricing tends to be influenced by competitive market rates and underlying wage levels rather than discretionary price increases.

Additionally, the workers' compensation component is tied to insurance market pricing and regulatory frameworks, which further limits the company's ability to independently set prices. Insurance premiums must reflect actuarial risk and regulatory guidelines.

However, BBSI may benefit from some switching costs and client stickiness once businesses integrate payroll, HR administration, compliance services, and workers' compensation coverage into the platform. This creates moderate customer retention but does not appear to translate into strong standalone pricing power.

Are earnings stable, cyclical, or unpredictable? Why?

Earnings appear generally stable but somewhat cyclical, with volatility driven by both economic conditions and insurance program dynamics.

The core PEO service business tends to produce relatively steady revenue growth because companies continue to require payroll and HR services even during weaker economic environments. This is visible in the long-term revenue trend, which has grown from roughly \$231 million in 2005 to over \$1.24 billion in 2025.

However, earnings have historically been influenced by insurance-related volatility and external disruptions. For example, the termination of the company's workers' compensation insurance program by its carrier in 2014 caused a major earnings shock, leading to a large operating loss that year. Workers' compensation claims development can also introduce variability depending on claim severity and reserve adjustments.

More recently, the company appears to have reduced insurance risk exposure, which has likely improved earnings stability compared to the pre-2014 structure. Nevertheless, the business remains somewhat sensitive to employment levels, payroll growth, and workers' compensation claims trends, which introduces a cyclical component tied to the broader labor market.

Moat

What competitive advantage allows this company to earn strong returns compared to competitors?

Cost advantage:

Moderate. BBSI benefits from operating leverage as its HR, payroll, compliance, and risk management infrastructure can serve a larger base of worksite employees without proportional increases in cost. As the client base grows, administrative costs are spread across more payroll volume, improving margins relative to smaller HR service providers.

Network effects:

None. The value of the service does not increase as more clients join the platform. Each customer receives the same HR and payroll services regardless of the size of the overall network.

Switching costs:

Moderate. Once a company integrates payroll processing, HR compliance, benefits administration, workers' compensation coverage, tax reporting, and employee management systems into BBSI's platform, switching providers can become a significant operational project. Migrating payroll systems, reconfiguring HR processes, transferring benefits administration, and restructuring insurance arrangements can disrupt normal business operations. Because these services are deeply embedded in day-to-day workforce management, clients often face meaningful friction when considering a transition to another provider. This embedded operational integration tends to create relatively sticky relationships; retention rates across the PEO industry are typically estimated to fall in the 80–90% range. While these switching costs support customer retention, they do not appear strong enough to create a dominant competitive advantage, as alternative providers offer similar bundled HR and payroll platforms.

Brand:

Limited. While BBSI has a long operating history and reputation in the PEO industry, brand recognition does not appear to be a major driver of customer acquisition compared with larger competitors such as ADP or Paychex.

Regulation:

Moderate. The PEO and workers' compensation industries are heavily regulated, which creates barriers to entry and increases the complexity of operating in the space. However,

these regulations apply broadly across the industry and do not uniquely advantage BBSI over other established providers.

Scale:

Moderate. Larger payroll volumes allow BBSI to spread administrative costs, negotiate insurance arrangements, and invest in compliance infrastructure more efficiently than smaller HR service firms. However, the company is still significantly smaller than the largest competitors in the PEO industry.

Asset ownership:

None. The business is primarily service-based and does not rely on ownership of physical assets or proprietary infrastructure to generate returns.

Geographic monopoly:

None. BBSI operates in multiple states but competes with national and regional PEO providers in each market. There are no exclusive geographic territories that protect the business from competition.

Capital Allocation

Have they diluted shareholders?

No long-term dilution at all.

Shares outstanding:

2005: 44.2M

2025: 25.2M

Shares have declined significantly over time, indicating that management has returned capital through share repurchases rather than issuing equity to fund growth.

Are buybacks intelligent or desperate?

Generally intelligent.

Buybacks appear to occur when the company generates excess cash rather than to offset heavy dilution from compensation. The long-term reduction in shares outstanding suggests buybacks have been used as a capital return mechanism, not as a defensive move to support earnings per share.

Debt behavior rational?

Yes. The company has historically used very little leverage.

Debt levels have remained low for most of the period and have been reduced to zero in recent years. This conservative balance sheet reflects the inherent risks associated with workers' compensation liabilities and suggests management prioritizes financial stability.

Acquisitions disciplined?

Yes.

The company has largely avoided major acquisitions and instead focused on organic expansion of its client base and payroll volume. The absence of large acquisition-related goodwill build-ups or leverage suggests a cautious approach to external growth.

How has management historically used free cash flow?

Free cash flow has primarily been used to:

- Reinvest in the core PEO platform and operations
- Strengthen the balance sheet
- Repurchase shares over time

The company has not relied heavily on acquisitions or debt-funded expansion, indicating a preference for steady, internally funded growth and shareholder returns.

Failure

How could this business fail?

The business could fail if its workers' compensation program produces sustained underwriting losses. Because claims develop over many years, poor reserve assumptions or unexpectedly severe claims could produce large losses that overwhelm operating margins.

The company also relies on fronting insurance carriers and reinsurance partners. If insurers withdraw support or significantly change terms, the workers' compensation program could be disrupted, as occurred in 2014. Because BBSI does not control the insurance license, this dependency represents a structural risk.

A severe recession could also materially reduce employment and payroll volume, directly reducing the company's primary revenue base.

How could competitors or technology disrupt this business?

Large competitors such as ADP, Paychex, Insperity, and TriNet have greater scale, technology budgets, and brand recognition, allowing them to offer similar services at competitive pricing.

Technological disruption could come from modern payroll and HR software platforms that automate compliance, payroll, benefits administration, and workforce management. As these tools improve, businesses may increasingly manage HR functions internally rather than outsourcing them to a PEO.

If technology lowers switching costs and reduces the complexity of HR administration, the economic value of the PEO model could decline.

Ownership

If the stock market closed for 10 years, would I want to own this entire business?

Possibly, but only with modest expectations.

The business provides essential operational services—payroll processing, HR administration, compliance management, and workers' compensation coverage—for small and mid-sized employers. These services are required for companies to function regardless of market conditions, which suggests the business could continue generating steady cash flow even if the stock market were closed.

However, the company does not appear to possess a strong or unique competitive advantage. The industry is competitive, pricing power is limited, and the business relies in part on insurance relationships it does not control. While the company has demonstrated the ability to operate profitably and grow its client base over time, the economics appear more characteristic of a solid service provider than an exceptional franchise.

Owning the entire business could still be attractive if purchased at a reasonable price because it generates recurring revenue and modest returns on capital, but it does not clearly exhibit the qualities of a business that would be unquestionably desirable regardless of valuation.

Why will this business still exist in 20 years?

It will likely still exist because businesses will continue to need payroll, HR administration, compliance management, and workers' compensation services.

Small and mid-sized companies often lack the internal infrastructure to manage these functions efficiently, and regulatory complexity makes outsourcing attractive. BBSI's integrated model—combining payroll processing, HR consulting, compliance support, and workers' compensation administration—simplifies these responsibilities for clients.

While competition and technology may change how these services are delivered, the underlying need for employers to manage payroll, employment law compliance, and workplace risk will remain. As long as businesses continue to hire employees and face regulatory requirements, demand for these services is likely to persist.

Final

What do I not understand? What makes me uncomfortable?

The primary uncertainty relates to the true economics and risk exposure of the workers' compensation program. Although the company appears to have reduced its retained insurance risk since the 2014 disruption, the structure of the program—specifically the level of risk retention, reinsurance arrangements, and long-term claims reserve assumptions—remains difficult to fully evaluate without deeper actuarial analysis.

Workers' compensation claims develop over many years, which introduces the possibility that reserve estimates could prove inaccurate.

Another area of uncertainty is the long-term competitive position of the business. While BBSI appears to operate a durable service platform with moderate switching costs, it does not clearly possess a strong structural competitive advantage relative to larger competitors such as ADP, Paychex, Insperity, or TriNet. The industry appears competitive, pricing power is limited, and technological improvements in payroll and HR software could gradually erode the value of bundled outsourcing services.

Finally, the company's historical returns on capital appear solid but not exceptional, raising the question of whether these returns are the result of sustainable advantages or simply the outcome of steady industry growth and competent execution.

Pass or Fail to Phase 3?

Pass to Phase 3.

The business appears understandable, operates in a necessary and persistent industry, has demonstrated long-term revenue growth, maintains a conservative balance sheet, and management has historically allocated capital in a disciplined manner. The customer base is diversified and the service offering addresses real operational needs for small and mid-sized businesses.

However, the business does not appear to possess a clear structural moat, and its long-term economics may be constrained by competitive industry dynamics. The key question therefore becomes whether the market price provides a sufficient margin of safety relative to the company's normalized earnings power.